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TheConstructionVoice

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Public procurement: Euractiv on subcontracting chains in public construction at the European Parliament

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As the EU prepares to reform public procurement rules, unions and employers call for limits on subcontracting, citing safety risks and liability issues. They argue that the current multi-layered subcontracting leads to unsafe working conditions and diminished responsibility for accidents. A joint effort among labor and business leaders aims to establish a framework that ensures safer and more accountable subcontracting practices.

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Public procurement: Euractiv on subcontracting chains in public construction at the European Parliament

https://www.euractiv.com/interview/unions-and-employers-unite-to-press-eu-for-tighter-subc

As the European Commission prepares an overhaul of EU public procurement rules to be unveiled in September, organisations representing workers and businesses have come together to demand limits on the use of subcontracting by public bodies.

They say the use of many layers of subcontractors throughout the construction sector in Europe has gotten out of hand, leading to unsafe conditions and making it difficult to establish liability. Limiting the extent of subcontracting for public bodies, they say, would also have an impact on private companies.

The European Builders Confederation (EBC), representing employers, and the European Federation of Building and Woodworkers (EFBWW), representing labour, recently co-organised an event at the European Parliament calling on EU lawmakers to limit subcontracting.

Euractiv spoke with EBC President Jean-Christophe Repon and former EFBWW President Bruno Bothua at the event.

What is the situation with subcontracting today in Europe?

Jean-Christophe Repon: For us as employers, for very small businesses and micro-enterprises across Europe, what's important is market access and the ability to work autonomously and independently. Therefore, subcontracting is essential for us. But regulating subcontracting is crucial to avoid ending up in the seventh or eighth tier of the subcontracting process.

It seems essential to us that, for the sake of the company's value, our relationships with our employees, and their safety, reducing and regulating subcontracting as much as possible allows companies to access the market, work in good conditions, and have safe employees. We know that the longer the subcontracting chain, the greater the potential risks and the reduced profit margins. There are risks for both workers and employers.

Bruno Bothua: It's absolutely essential that we achieve a limit on subcontracting. The EFBWW and its affiliates support limitations. In serious and fatal accidents, subcontracting is a contributing factor in 70% of accidents. That's enormous.

Secondly, what does subcontracting lead to? A lack of responsibility for the actual person in charge.

In other words, the more layers of subcontracting there are, the more diluted the responsibility becomes. And ultimately, we end up with the smallest company being the most squeezed and facing the greatest risk. This also has consequences for workers, such as uncontrolled working hours and a lack of safety measures.

And I'm not pointing fingers, of course, at either EBC or Jean-Christophe, because I know we have common ground on this issue. And it's thanks to these commonalities that we manage to get legislation proposed.

Subcontracting entails fewer rights, increased safety risks, and, ultimately, risks for the company. As a workers' representative, I need companies. But I need stable companies, companies where I can negotiate better conditions, better social rights. So, limiting subcontracting is a guarantee of security.

The European Commission will soon be coming out with a proposal to revise public procurement rules. Could this be an opportunity to limit subcontracting?

Jean-Christophe Repon: Yes. In France, we fought to ensure that whenever public funds are involved to support energy-efficiency renovations, subcontracting is limited to two tiers. We did this specifically through legislation.

That was a first step in France – and other European countries have also taken initiatives, including in Spain and Belgium – but we need to go further across all public procurement contracts.

It's important because when we signal the use of public funds through a two-tier subcontracting framework, it also creates momentum across the entire market, beyond public procurement. And it establishes, I would say, a code of ethics for businesses, which seems essential to us.

So, by setting an example in the public sector, we can follow suit in all other markets where there will be no legislation, since it's much more difficult to establish a presence in the informal market.

For us it's also about the ability to work properly, in good conditions, with economic values that reflect the spirit of a small, independent business. So, limiting public funding to ensure we can benefit from and have quality work done with protected employees is essential for the future.

Bruno Bothua: The control of public money, the use of public funds, who receives them, how they're used, and in what direction – it has to become exemplary. I believe that if we manage to achieve this through the reform of public procurement, with this control and oversight of subcontracting, we'll manage to have a Europe that's a bit more socially conscious than it is today, which is currently stagnating.

We can also clearly see, unfortunately, the shift to the right, even to the extreme right, in the European Parliament and national parliaments as well.

But things are happening, we're managing to fight back. We succeeded in obtaining a joint statement on the European Parliament report. I worked extensively with the EBC to obtain this report. It's essential for safeguarding businesses and crafts, and it's essential for the millions of workers who rely on them.

What's the worst thing that could happen if we do nothing, if there are no new rules limiting subcontracting?

Jean-Christophe Repon: The primary risk is the economic deterioration of the entire value chain for SMEs and micro-enterprises, and the subsequent decline in the quality of work and reduced competitiveness of the whole sector.

If we don't regulate subcontracting chains and prioritise smaller projects so that skills are kept and further developed in-house, the emergence of unmanageable migration flows could be an additional risk. And we'll need workers in the building trades.

But we want to integrate these workers into companies that offer job security and real expertise, rather than relying on migration flows that just fill immediate needs. We are open to foreign talent – long-term, integrated, and skilled – in our companies.

And for us, in our small business, staff turnover is low. We have many employees who stay for a long time; it's possible. And the longer they stay and the more skilled they are, the better off the company is. So, we're in favour of truly intelligent migration flows, with proper integration and skills that are relevant to the local company.

Bruno Bothua: The worst thing, I'm tempted to say, would be what happened with GCC Construction during the 2024 Olympic Games: abusive subcontracting, a subsidiary that's being set up to make workers from far and wide – countries like Mali, Nepal, and so on –work haphazardly. The result is companies being convicted, facing prison sentences, hundreds of thousands of euros in fines, and being barred from bidding on public contracts.

So, when you see that the risk taken to earn a few euros is enormous – GCC, for example, is still eight million euros in social security contributions, not to mention, of course, undeclared wages, and so on.

Even though they initially secured a clear contract, they're looking for workers further and further afield, and this leads to convictions that are jeopardising employment. Because tomorrow, when GCC's employees are told they can no longer bid on public contracts, there will be restructuring, there will be layoffs, and so on.

So, we see that dishonesty leads to the sacrifice of workers and the sacrifice of the company. And because we are defenders of employees and workers, we are defenders of the company. Without a company, there are no workers.